

Investment Basics

An introduction to growing wealth through investing

Why Invest?

Saving alone rarely outpaces inflation, meaning cash sitting idle slowly loses purchasing power over time. Investing puts money to work in assets that have historically grown in value, such as stocks, bonds, and real estate, allowing wealth to compound over years or decades rather than merely being preserved.

Risk and Return

Generally, investments with higher potential returns carry higher risk of loss, while safer investments tend to offer lower returns. Understanding your own risk tolerance -- how much loss you can handle without panic-selling -- is essential before choosing where to invest.

Stocks

A stock represents partial ownership in a company. Stock prices rise and fall based on company performance, investor sentiment, and broader economic conditions. Over long periods, diversified stock investments have historically delivered strong returns, though short-term volatility can be significant.

Bonds

A bond is essentially a loan to a government or company that pays periodic interest and returns the principal at maturity. Bonds are generally less volatile than stocks and are often used to balance risk in a portfolio, though they typically offer lower long-term returns.

Mutual Funds and ETFs

Mutual funds and exchange-traded funds (ETFs) pool money from many investors to buy a diversified basket of assets. This diversification spreads risk across many holdings instead of concentrating it in a single company, making these vehicles popular for beginner and long-term investors alike.

Diversification

Diversification means spreading investments across different asset types, industries, and geographies so that poor performance in one area does not disproportionately harm the entire portfolio. It is one of the few strategies that can reduce risk without necessarily reducing expected return.

Compound Growth

Compound growth occurs when investment returns themselves begin generating additional returns over time. Because of compounding, starting to invest early -- even with small amounts -- can outperform starting later with larger amounts, since time in the market allows growth to build on itself.

Investment Time Horizon

Time horizon refers to how long money will remain invested before it is needed. Longer horizons generally allow for more aggressive, growth-oriented investments, since there is more time to recover from short-term downturns. Shorter horizons typically call for more conservative allocations.

Getting Started Responsibly

New investors benefit from starting with well-diversified, low-cost options, avoiding speculative bets with money they cannot afford to lose, and prioritizing an emergency fund and high-interest debt repayment before investing aggressively. Investment decisions should align with personal goals and risk tolerance rather than short-term market hype.

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